

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION AMENDING RESOLUTION NO. 5521 AND AUTHORIZING SUBMISSION OF AN APPLICATION TO THE WYOMING BUSINESS COUNCIL, BUSINESS READY COMMUNITY GRANT AND LOAN PROGRAM FOR FUNDING THROUGH THE DOWNTOWN DEVELOPMENT GRANT AND LOAN PROGRAM FOR AN ELEVATED WALKWAY.”

WHEREAS, Resolution No. 5521, adopted by the Governing Body at its August 26, 2013 meeting inadvertently omitted wording with respect to the loan component of the project which is the subject of this Resolution; and

WHEREAS, the Governing Body of the City of Cheyenne desires to participate in the Wyoming Business Council Business Ready Community/Downtown Development Program to assist Spirit Hospitality, LLC, in constructing an elevated pedestrian access walkway from the Jack R. Spiker Parking Facility across Pioneer Avenue to a location within Block 392, Original City, City of Cheyenne, 1620 Pioneer Avenue, Cheyenne, Wyoming (“Block 392”); and

WHEREAS, the purposes of the elevated pedestrian access walkway includes providing pedestrian access for the general public from the Spiker Parking Facility to the streets, sidewalks, and businesses located in and around the 1600 block of Pioneer Avenue and to provide access to and from the Spiker Parking Facility for guests of a Hilton Gardens Hotel which Spirit Hospitality, LLC, proposes to construct; and

WHEREAS, the eligibility requirements of the Business Ready Community/Downtown Development Program include the provision that a portion of eligible program funds may be distributed in the form of a loan to the City of Cheyenne as the grant applicant; and

WHEREAS, the City of Cheyenne will request Business Ready Community/Downtown Development Program grant funds in the amount of Five Hundred Sixty-Two Thousand Two Hundred Forty-Eight Dollars (\$562,248.00) and loan funds in the amount of One Hundred Eighty-Seven Thousand Five Hundred Dollars (\$187,500.00), said loan funds to be re-paid by the City of Cheyenne over a twenty (20) year period with simple interest in the amount of one half of one percent (.5%) compounded annually; and

WHEREAS, pursuant to said terms and conditions, the annual debt service owed by the City of Cheyenne to the Wyoming Business Council will be in the approximate amount of Nine Thousand Eight Hundred Seventy-Five Dollars (\$9,875.00) annually; and

WHEREAS, the City of Cheyenne will secure the loan through a non-exclusive lease of the elevated pedestrian access walkway to Spirit Hospitality, LLC, for use by its guests with annual lease payments for Years 1 through 4 in the amount of Ten Thousand Dollars (\$10,000.00) and annual lease payments for Years 5 through 20 in the amount of Fourteen Thousand Seven Hundred and Fifty Dollars (\$14,750.00); and

WHEREAS, the term of said lease must also extend beyond the twenty (20) year loan re-payment period, described in the preceding paragraph, to ensure that Spirit Hospitality will have the non-exclusive right to use the elevated pedestrian access walkway for the entire period of time covered by the “Hilton Hotels” franchise agreement for this project, which franchise agreement will expire at 11:59 p.m., July 31, 2035; and

WHEREAS, in the absence of breach, amendment, or revocation of said non-exclusive lease, the annual lease payments for Years 21 through the termination of said lease shall be Four Thousand Dollars (\$4,000.00) per year; and

WHEREAS, the City of Cheyenne will use revenue recaptured through this project, estimated at Seventy-Eight Thousand Five Hundred Dollars (\$78,500.00) over the twenty (20) year loan re-payment period, to support the City of Cheyenne’s West Edge Project; and

WHEREAS, said grant and loan funds will be used by the City of Cheyenne to construct the elevated walkway, which will be retained in the ownership of the City as public pedestrian access infrastructure; and

WHEREAS, the use of grant and loan funds for the construction of an elevated pedestrian access walkway satisfies the eligibility criteria which have been established by the Wyoming Business Council for the Business Ready Community/Downtown Development Program; and

WHEREAS, the eligibility requirements of the Business Ready Community/Downtown Development Program also include the requirement that the grant applicant provide a grant match and the City's match will be provided through the loan component of the grant application as described above and through capital investments of Spirit Hospitality, LLC; and

WHEREAS, the City of Cheyenne will follow state procurement standards, inclusive of W.S. § 15-1-113 and W.S. § 16-6-101, *et seq.*, in the construction of the elevated pedestrian access walkway; and

WHEREAS, the City of Cheyenne will comply with the Wyoming Preference Act (W.S. §§ 16-6-201 through 16-6-206) and all related state statutes in the construction of the elevated pedestrian access walkway; and

WHEREAS, the Governing Body of the City of Cheyenne recognizes the construction of an elevated walkway will provide public benefit; and

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, that a loan application in the amount of One Hundred Eighty-Seven Thousand Five Hundred Dollars (\$187,500.00), subject to and including the terms and conditions set forth above, be submitted to the Wyoming Business Council for the purpose of assisting in the funding of the construction of the elevated pedestrian access walkway as described above.

BE IT FURTHER RESOLVED that the Mayor of the City of Cheyenne, or such other City official as may be designated by the Mayor, is authorized to sign an application for this grant and loan request and that the Mayor, or his designated representative, is authorized to execute a grant agreement and loan documents as required by the Wyoming Business Council in the event that grant and loan funds, as described herein, are awarded to the City of Cheyenne for this project.

BE IT FURTHER RESOLVED that Resolution No. 5521 is amended to the extent that Resolution No. 5521 is inconsistent with this Resolution.

ADOPTED THIS _____ day of October, 2013.

Richard L. Kaysen, Mayor

(SEAL)
Attest

Carol Intlekofer, City Clerk